The Price Puzzle: What Drives the Market

Class 9 Social Science (NCERT, Understanding Society: India and Beyond, Part 1) | Chapter 9 | Important Questions with Answers

Quick Revision

Demand: quantity people are willing and able to buy at a price. **Law of Demand**: price up, quantity demanded down (inverse; downward-sloping curve). Factors: price of related goods (substitutes and complements), income, taste, population, seasonality, future expectations. **Supply**: quantity sellers are willing and able to offer. **Law of Supply**: price up, quantity supplied up (direct; upward curve). Factors: price of related goods, number of sellers, technology, future expectations, input costs, weather. **Market equilibrium**: Qd = Qs; in real markets it keeps shifting. **Government role**: regulate unfair practices (price ceiling and floor), control monopolies, provide public goods; but too much regulation causes price distortions, compliance burdens and discourages innovation.

Table 9.3: Mangoes (price per kg)

Price (₹)	Qd (kg)	Qs (kg)	Outcome
40	38	6	Qs < Qd: excess demand
100	12	12	Qs = Qd: market equilibrium (₹100, 12 kg)
150	8	43	Qs > Qd: excess supply

Important Questions with Answers (70)

A. Multiple Choice Questions

1. The Law of Demand shows:
(a) an inverse relationship between price and quantity demanded (b) a direct relationship between price and quantity demanded (c) no relationship between price and quantity demanded (d) an inverse relationship between price and quantity supplied

Ans: (a) an inverse relationship between price and quantity demanded

2. Demand for a product is the quantity people are:
(a) only willing to buy at any price (b) willing and able to buy at a particular price (c) able to produce at a particular price (d) forced to buy by the government

Ans: (b) willing and able to buy at a particular price

3. Tea and coffee are examples of:
(a) substitute goods (b) complementary goods (c) public goods (d) luxury goods

Ans: (a) substitute goods

4. A printer and its cartridges are examples of:
(a) substitute goods (b) complementary goods (c) public goods (d) related by chance

Ans: (b) complementary goods

5. According to the Law of Supply, as price rises:
(a) quantity supplied falls (b) quantity supplied does not change (c) quantity supplied rises, giving an upward-sloping supply curve (d) quantity demanded rises

Ans: (c) quantity supplied rises, giving an upward-sloping supply curve

6. Market equilibrium is the point where:
(a) price is the highest (b) quantity demanded equals quantity supplied (c) there is excess demand (d) the government fixes the price

Ans: (b) quantity demanded equals quantity supplied

7. A price ceiling is:
(a) the maximum price a seller can charge, set by the government (b) the minimum price a seller must charge (c) the price at which supply is zero (d) the price at which demand is zero

Ans: (a) the maximum price a seller can charge, set by the government

8. For a price floor to be effective, it must be set:
(a) at zero (b) below the market equilibrium price (c) above the market equilibrium price (d) by the buyers

Ans: (c) above the market equilibrium price

9. Which of the following is NOT a determinant of demand?
(a) income of the consumer (b) taste and preference (c) technology (d) seasonality

Ans: (c) technology (it is a determinant of supply)

10. During COVID-19, the government capped the maximum retail price of a 200 ml sanitiser at:
(a) ₹50 (b) ₹100 (c) ₹150 (d) ₹200

Ans: (b) ₹100

11. Which regulator looks after the telecommunications sector in India?
(a) RBI (b) SEBI (c) TRAI (d) CCPA

Ans: (c) TRAI

12. The diminishing marginal utility principle states that:
(a) utility increases with each extra unit (b) price falls as supply rises (c) income rises with consumption (d) the additional utility from each extra unit falls as more is consumed

Ans: (d) the additional utility from each extra unit falls as more is consumed

B. True or False

13. Market demand is the sum of all individual demands.

Ans: True

14. A demand curve slopes upward from left to right.

Ans: False (it slopes downward, showing the inverse relationship between price and quantity demanded)

15. If the price of a substitute good increases, the demand for the other good increases.

Ans: True

16. If consumers expect prices to fall in the future, their present demand increases.

Ans: False (they postpone purchases, so present demand decreases)

17. Improvement in technology generally reduces the cost of production and raises supply.

Ans: True

18. In the real world, market equilibrium is permanent and never changes.

Ans: False (markets are dynamic, so equilibrium keeps moving as conditions change)

19. Public goods like roads and streetlights are usually provided by private companies for profit.

Ans: False (they do not generate direct profit, so the government provides them)

20. A monopoly is a market structure with a single seller controlling the entire supply.

Ans: True

C. Fill in the Blanks

21. The downward-sloping line obtained by plotting a demand schedule is called the _____ curve.

Ans: demand

22. The total quantity demanded by all potential buyers at different prices is called _____ demand.

Ans: market

23. In Table 9.3, the equilibrium price of mangoes is ₹ _____ and the equilibrium quantity is _____ kg.

Ans: ₹100; 12 kg

24. The accumulation of goods beyond what is immediately necessary, driven by fear of future shortages, is called _____.

Ans: hoarding

25. The illegal trade of goods and services that are banned or regulated is called _____ marketing.

Ans: black

26. A measure of how much one unit of a currency can buy at a particular time is called _____ power.

Ans: purchasing

27. The government sets a minimum wage so that workers earn enough. This lower limit is an example of a price _____.

Ans: floor

D. Assertion and Reason *(Options: (a) Both A and R are true and R explains A. (b) Both true but R does not explain A. (c) A is true, R is false. (d) A is false, R is true.)*

28. Assertion (A): The market demand curve is flatter than an individual demand curve.
Reason (R): Market demand adds up the demand of many consumers, so the same price change creates a larger total quantity response.

Ans: (a) Both A and R are true and R explains A

29. Assertion (A): The government sets a maximum price for essential medicines.
Reason (R): This prevents overcharging and protects consumers, especially the vulnerable and low-income groups.

Ans: (a) Both A and R are true and R explains A

30. Assertion (A): Public goods such as parks are usually provided by the government.
Reason (R): They do not generate direct profit, and many people think others will pay, so private funds are not collected.

Ans: (a) Both A and R are true and R explains A

31. Assertion (A): Hotel room tariffs change several times in a year, even in a day.
Reason (R): Demand, season, events, booking trends and rival hotels' tariffs keep changing.

Ans: (a) Both A and R are true and R explains A

E. Short Answer Questions *(2 to 3 sentences)*

32. Define demand. Why is demand more than just a desire to buy?

Ans: Demand is the quantity of a product that people are **willing and able to buy at a particular price**. Mere desire is not demand; it must be complemented by the **purchasing power** (ability) to buy.

33. State the Law of Demand with an example.

Ans: The Law of Demand states that when the price of a product rises, the quantity demanded falls, and when the price falls, the quantity demanded rises (an **inverse relationship**). Example: Srivalli bought 1 kg of mangoes at ₹150, 2 kg at ₹100 and 3 kg at ₹50.

34. What is the difference between individual demand and market demand?

Ans: Individual demand is the quantity one consumer wants to buy at different prices (other factors constant). **Market demand** is the total quantity demanded by all potential buyers, that is the sum of all individual demands (Q1 + Q2 + Q3).

35. What is a demand schedule? How is it related to the demand curve?

Ans: A demand schedule is a table showing the quantities a consumer demands at different prices. When it is shown on a graph (price on the y-axis, quantity on the x-axis) and the points are joined, the downward-sloping line is the **demand curve**.

36. Why is the market demand curve flatter than Srivalli's individual demand curve?

Ans: Market demand aggregates many consumers, so the same price change causes a larger total quantity response. When the price falls from ₹150 to ₹50, Srivalli's demand rises by 2 kg but market demand rises by 12 kg, so the market curve is flatter and more responsive.

37. Name any four factors, other than price, that affect demand.

Ans: (1) Prices of related goods (substitutes and complements), (2) income of the consumer, (3) taste and preference, (4) size and composition of population. (Also: seasonality and future price expectations.)

38. Differentiate between substitute goods and complementary goods with an example each.

Ans: Substitutes can replace each other (tea and coffee); if the price of one rises, the demand for the other rises. **Complements** are used together (smartphones and earphones; cars and petrol); if the demand for one rises, so does the demand for the other.

39. What is the diminishing marginal utility principle? Explain with the mango example.

Ans: The additional utility from a product falls as more of it is consumed. The first mango tastes delicious, the second is good, but by the third or later you are barely interested. As utility falls, the willingness to pay falls, so demand falls.

40. How does seasonality and future price expectation affect demand?

Ans: Seasonality: people demand different goods at different times of the year (sweaters in winter, sweets during festivals, books at the start of the school year). **Future expectations:** if prices are expected to fall, people postpone buying (durables before Diwali); if they are expected to rise, people buy at once.

41. State the Law of Supply. Why does supply rise when price rises?

Ans: As price rises, quantity supplied rises, and as price falls, quantity supplied falls (a direct relationship). Higher prices increase profitability, which **encourages producers to produce more** and also attracts new firms to the market.

42. Mention any four determinants of supply.

Ans: (1) Price of related goods (a farmer grows chickpeas if their price is higher than wheat), (2) number of sellers in the market, (3) technology, (4) future expectations. (Also: cost of inputs and weather.)

43. How does technology affect supply? Give an example.

Ans: Better technology lowers the cost of production, so producers can produce and supply more. For example, drip irrigation and weather sensors raise crop production, and cold storage allows mangoes to be carried to distant markets, increasing market supply.

44. What is market equilibrium? Why is the market said to be 'cleared' at equilibrium?

Ans: Market equilibrium is the point where quantity demanded equals quantity supplied. At this price there is neither excess supply (surplus) nor excess demand (shortage), so there is no pressure for prices to change and the market is 'cleared'.

45. Why is market equilibrium never stable in the real world? Give an example.

Ans: Because markets are dynamic. Technology, wages, interest rates, wars, pandemics, weather and disasters constantly change demand and supply. In 2020 the demand for face masks surged, supply could not catch up, and prices rose; later suppliers adjusted and prices fell, and after the pandemic prices returned to pre-pandemic levels.

46. Why do hotels change their tariffs? Give examples from the chapter.

Ans: Prices change with demand, season and special situations. A hotel in Goa may charge ₹1,500 on an off-season Monday, ₹8,000 on a December Saturday and ₹25,000 on New Year's Eve. It may cut tariff by 40% overnight when a group cancels, to fill rooms quickly and earn maximum revenue.

47. Why does the government intervene in the market? Mention the key roles.

Ans: Markets allocate goods by willingness and ability to pay, which may not be fair (e.g., costly medicines). The government (1) **regulates unfair practices** (price ceiling, price floor), (2) **regulates monopolies**, and (3) **provides public goods**.

48. Differentiate between a price ceiling and a price floor with examples.

Ans: A **price ceiling** is a maximum price a seller can charge, for example the maximum price of medicines or the ₹100 cap on sanitisers. A **price floor** is a minimum price below which one cannot charge, for example the **minimum wage**.

49. What is a monopoly? Why is it harmful to consumers?

Ans: A monopoly is a market with a single seller controlling the entire supply of a unique product with no close substitutes. It can charge higher prices, provide poorer quality, and restrict supply, so the government regulates the prices and quantity supplied.

50. What are public goods? Why does the government provide them?

Ans: Public goods are goods and services provided by the government for the benefit of all citizens, e.g., roads, bridges, public parks, streetlights, national defence, sanitation and drainage. Private companies do not provide them since they bring no direct profit, and if each family waits for others to pay, the park is never built.

51. Name the regulators mentioned in the chapter and the sectors they regulate.

Ans: RBI: banking; **CCPA** (Central Consumer Protection Authority): consumer rights and unfair trade practices; **TRAI**: telecommunications; **SEBI**: the securities market.

52. Describe how the government dealt with the shortage of sanitisers during COVID-19.

Ans: Demand surged, causing stockouts, sharp price rises, hoarding and black-marketing. The government declared sanitisers essential commodities under the **Essential Commodities Act, 1955** and capped the maximum retail price at **₹100 for 200 ml**. Companies then started production and sanitisers became available at fair prices.

53. What are the limitations of government intervention in the market?

Ans: (a) **Price distortions and reduced producer incentives**: a maximum wheat price of ₹20 when the market price is ₹30 lowers farmers' motivation and may cause shortages. (b) **Compliance burdens**: licences and permits hurt small enterprises and the ease of doing business. (c) It **discourages innovation and entrepreneurship**, since there is little return on investing in better seeds or technology.

F. Application and Data-based Questions

54. If petrol prices double, what happens to the demand for (a) diesel cars (b) electric cars (c) car accessories (d) public transport?

Ans: (a) Diesel cars: **rises** (a substitute for petrol cars). (b) Electric cars: **rises** (a substitute). (c) Car accessories: **falls** (complementary to cars, whose use falls). (d) Public transport: **rises** (a cheaper alternative). *(Reasoning based on substitutes and complements.)*

55. A farmer installs drip irrigation, which reduces water use by 40% and raises yield by 30%. How does this affect (a) his cost of production (b) his willingness to supply at different prices (c) the overall market supply if many farmers adopt it?

Ans: (a) His cost of production **falls**. (b) He is willing to supply **more at each price**. (c) Market supply **rises** (the supply curve shifts right) and prices tend to fall.

56. Suppose the government sets the maximum sale price of an essential vaccine below the market-driven price. What is likely to happen: surplus, shortage, no effect, or fall in demand?

Ans: Shortage. At a price below equilibrium, quantity demanded exceeds quantity supplied (excess demand), and low prices reduce suppliers' incentive to supply.

57. Categorise as substitute or complementary goods: (a) movie ticket and popcorn (b) eraser and pencil (c) laptop and computer (d) air conditioner and cooler (e) notebook and pen (f) apple and banana (g) mobile and earphones.

Ans: Complementary: (a), (b), (e), (g). **Substitutes:** (c), (d), (f).

58. During online festival sales, prices of many products are very low. Why do sellers sell at such low prices? Who benefits?

Ans: Lower prices raise the quantity demanded, so sellers sell much more, clear stock and attract customers; the larger sales volume can raise total revenue. When price is lowered below the equilibrium, excess demand arises. **Both** consumers (cheaper goods) and sellers (higher sales and revenue) benefit.

59. At market prices of ₹150, ₹100 and ₹50, Srivalli, Alex and Israt demand 1, 2, 3 kg; 2, 4, 6 kg; and 3, 6, 9 kg respectively. Find the market demand at each price.

Ans: At ₹150: 1 + 2 + 3 = **6 kg**; at ₹100: 2 + 4 + 6 = **12 kg**; at ₹50: 3 + 6 + 9 = **18 kg**. Market demand rises as price falls.

60. Sellers A, B and C supply 1, 3, 2 kg at ₹50; 2, 4, 6 kg at ₹100; and 3, 7, 8 kg at ₹150. Find the market supply at each price.

Ans: At ₹50: 1 + 3 + 2 = **6 kg**; at ₹100: 2 + 4 + 6 = **12 kg**; at ₹150: 3 + 7 + 8 = **18 kg**. Market supply rises with price.

61. Table 9.3 shows: at ₹40, Qd = 38 kg and Qs = 6 kg; at ₹100, Qd = Qs = 12 kg; at ₹150, Qd = 8 kg and Qs = 43 kg. Find the excess demand or supply at ₹40 and ₹150 and say what happens next.

Ans: At ₹40: excess **demand** = 38 − 6 = **32 kg** (shortage), so prices tend to rise. At ₹150: excess **supply** = 43 − 8 = **35 kg** (surplus), so prices tend to fall. In both cases the price moves toward the equilibrium of ₹100 and 12 kg.

62. If a hotel cuts its ₹8,000 weekend tariff by 40% overnight to fill empty rooms, what is the new tariff?

Ans: 40% of ₹8,000 = ₹3,200, so the new tariff = 8,000 − 3,200 = **₹4,800** per night.

63. From the schedule — Price (₹): 10, 20, 30, 40, 50; Q.D. (kg): 5, 10, 15, 20, 25; Q.S. (kg): 25, 20, 15, 10, 5 — find the equilibrium and say what happens at ₹20 and ₹40.

Ans: Equilibrium is where Qd = Qs: price **₹30**, quantity **15 kg**. At ₹20: Qd = 10, Qs = 20, so excess supply of 10 kg. At ₹40: Qd = 20, Qs = 10, so excess demand of 10 kg. *(Computed from the data exactly as printed in the book.)*

G. Long Answer Questions *(100 to 150 words)*

64. Explain the Law of Demand with the help of Srivalli's demand schedule and curve.

Ans: The Law of Demand shows an **inverse relationship** between price and quantity demanded. At the start of the mango season, the price was ₹150 per kg and Srivalli bought 1 kg (point A); at ₹100 she bought 2 kg (point B); at ₹50 she bought 3 kg (point C). This table is the **demand schedule**. When the points A, B and C are plotted (price on the y-axis, quantity on the x-axis) and joined, we get the downward-sloping line DD', the **demand curve**. It shows that as the price falls, the quantity demanded rises, other factors such as income and taste being constant.

65. Explain the determinants of demand other than price.

Ans: (1) **Prices of related goods**: if the price of a substitute rises, demand for the other rises; complementary goods' demand moves together. (2) **Income**: a rise in income generally raises demand for several goods. (3) **Taste and preference**: Srivalli likes mangoes and will not replace them by oranges. (4) **Population** size and composition (more children, more sports shoes; more elderly people, more comfortable shoes). (5) **Seasonality**: sweaters in winter, sweets at festivals. (6) **Future price expectations**: people postpone or advance purchases.

66. Explain the determinants of supply.

Ans: (1) **Price of related goods**: a farmer grows more chickpeas if wheat prices are low and chickpea prices high. (2) **Number of sellers**: more sellers increase supply and lower prices; fewer sellers reduce supply and raise prices. (3) **Technology**: drip irrigation, weather sensors and cold storage cut costs and raise supply. (4) **Future expectations**: if producers expect higher prices later, such as potato wholesalers, they may hold back supply now. (5) **Other factors**: cost of inputs, weather, disasters and depletion of resources.

67. What is market equilibrium? Explain with the help of Table 9.3. Does it exist in the real world?

Ans: Market equilibrium is where quantity demanded equals quantity supplied, so prices stay stable unless something changes. In Table 9.3, at ₹40 demand (38 kg) exceeds supply (6 kg), which is excess demand; at ₹150 supply (43 kg) exceeds demand (8 kg), which is excess supply. At **₹100**, Qd = Qs = **12 kg**, which is the equilibrium, and on a graph it is where the demand and supply curves intersect (point E). In the real world, equilibrium keeps shifting because of technology, wages, interest rates, wars, pandemics and weather, as with the prices of masks during COVID-19. So markets are always adjusting to a new equilibrium.

68. Discuss the role of the government in the economy.

Ans: Markets may be unfair to the vulnerable, so the government plays a role. (1) **Regulation of unfair practices**: price ceilings for essential goods such as medicines, and minimum wages (a price floor) protect consumers and workers; regulators such as RBI, CCPA, TRAI and SEBI ensure transparency. (2) **Control of monopolies**, which charge high prices and restrict supply. (3) **Provision of public goods** such as roads, parks, streetlights and national defence, which private firms do not provide for lack of direct profit. During COVID-19 it capped sanitiser prices to stop hoarding and black marketing.

69. Can excessive government regulation hurt markets? Explain with examples.

Ans: Yes. (1) **Price distortions**: if wheat is capped at ₹20 per kg while the market price is ₹30, farmers get less and produce less, causing shortages. (2) **Compliance burdens**: a small restaurant needs permissions for food safety, fire safety, pollution and local clearances; the time and cost discourage small entrepreneurs and hurt the ease of doing business. (3) **Discouraging innovation**: with price controls, farmers will not invest in better seeds, irrigation or technology, reducing long-term productivity. So regulation must be carefully balanced.

70. ‘An increase in income always leads to a rise in demand for goods.’ Defend or refute.

Ans: Refute (partly). A rise in income generally increases demand for several goods because people can afford more or better goods. But it is not *always* so: demand also depends on taste and preference (Srivalli will not replace mangoes by oranges), prices of related goods, seasonality, population and expected future prices. A higher income does not raise demand for every good in the same way, so the statement is too absolute.